



TD SECURITIES (USA) LLC

July 30, 2026

Price: \$139.67 (07/29/2026)

Price Target: \$180.00

BUY (1)

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Key Data

Symbol NASDAQ: CHKP

Market Cap \$14.3B

QUICK TAKE: EARNINGS UPDATE

CHKP 1st Blush: Essentially In-Line 2Q as GTM Efforts Require More Patience

THE TD COWEN INSIGHT

Rev of \$674M (up 1% y/y) was essentially in line with St's \$675M est as Product rev of \$113.4M exceeded St's \$108.3M (down 14% y/y) and subs rev of \$332.6M (up 12% y/y) was slightly below St's \$333.2M est. Billings of \$636.3M were tad shy of St's \$637.5M est (down 1% y/y). Guidance will be provided during the 8:30AM ET call and reiteration of FY26 targets (3%) could remove LT concerns.

Revenue essentially in line: CHKP's 2Q billings of \$636.3M were down 1% y/y, missing St's \$637.5M and better than our St-low \$622M estimated (-3% y/y) as CHKP is still working through the transitional effects of its GTM adjustments and leadership changes. Revenue of \$674M (up 1% y/y) was essentially in line with St's \$675M as the decline in Product revenue of \$113.4M (down 14% y/y) came above consensus of \$108M. Subscription revenue of \$333M (up 12% y/y) was slightly below St's estimate (up 12% y/y), reflecting prior consistent trends.

Profitability and CFO Mostly in line: Operating margins of 38.6% came essentially in line with St's 38.8% as CHKP continues to invest internally.

Cash Flow from Operations of \$170M was tad better than St's \$167M reflective of the overall mixed performance. CHKP bought back ~2.5M shares or~ \$325M - consistent with prior quarterly patterns and carries \$4.2B of cash on its balance sheet.

FY26 Guidance Reiteration Crucial: Consensus sees FY26 revenue growing by +3% y/y to \$2,813M, with a non-GAAP operating margin of 39.5%, and \$10.42 (-12% y/y) in non-GAAP EPS. We believe guidance reiteration indicating a backend loaded 2H26 may assuage some investors' concerns.

Bottom Line: With shares down 10% BMO, we view CHKP's mixed performance indicative of internal issues rather than industry driven ones.

CHKP will host its conference call at 8:30AM ET.

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Cybersecurity & Information Security:

Our valuation methodology is primarily based on Enterprise Value to Free Cash Flow (EV/FCF), followed by Price-to-Earnings (P/E). However, this varies by company; for instance, we will often use Enterprise Value to Revenue (EV/Revs) or a discounted cash flow (DCF) analysis for software companies that are primarily subscriptions-based, or for growth companies that have recently entered the public equity markets.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Cybersecurity & Information Security:

The global economy or specific end markets significantly worsen, contracting IT spending and impairing software growth. The rate of SaaS/Cloud adoption slows, resulting in prolonged sales cycles and higher-than-anticipated quarterly volatility across much of our coverage universe. Competition increases materially, driving deflationary pricing pressure and compressing margins. In particular, innovation by new entrants in the software sector often produces solutions with similar or better functionality at materially lower prices than incumbents' legacy offerings.

Risks To The Price Target

- **Global Macro Slowdown:** Macroeconomic conditions could have a negative impact on IT security spending which could limit growth. CHKP's high international exposure at >50% is susceptible to FX risk.
- **Competitive Dynamics:** Direct competition from Cisco, Fortinet and Palo Alto Networks, and other next-gen cloud security challengers, may continue to tighten, causing product revenue to deteriorate. Operating margins could meaningfully suffer as a result of trying to keep pace.
- **Breach of Network and/or Product Failure:** Any security breach affecting CHKP's software could have a disproportionately negative effect given the importance of reputation and trust for a security company.
- **Shortage of Skilled Talent:** Failure to attract highly skilled IT security human capital to sustain technological innovation could negatively influence the future success of the business.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
CHKP	Check Point Software Technologies

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Buy (1): The stock is expected to achieve total return of +15% or more over the next 12 months

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Sell (3): The stock is expected to achieve a total return of -10% or below over the next 12 months

Suspended (4): Due to evolving circumstances and potential conflicts of interest, we can no longer generate what we consider a defensible rating at the current time

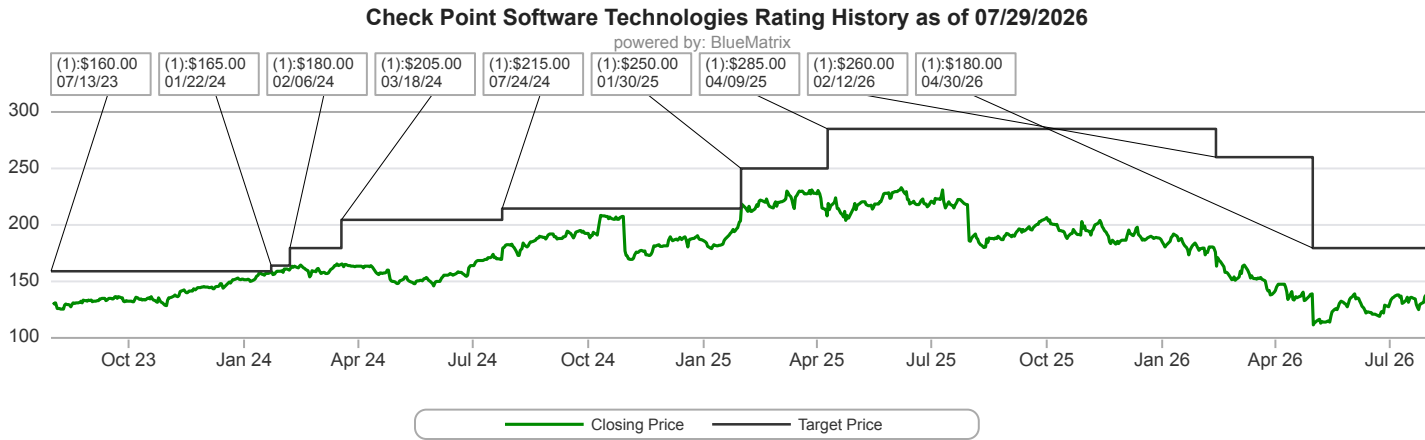
Assumption: The expected total return calculation includes annual return and forecasted dividend yield

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Rating	Count	Ratings Distribution	Count	IB Services/Past 12 Months
Buy	868	66.92%	348	40.09%
Hold	416	32.07%	130	31.25%
Sell	13	1.00%	4	30.77%

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Legend for Price Chart:
I = Initiation | 1 = Buy | 2 = Hold | 3 = Sell | 4 = Suspended | UR = Price Target Under Review | D = Discontinued Coverage | \$xx = Price Target | NA = Not Available

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